Akamai Technologies | AKAM

Full investment deep dive | Created and sourced September 28, 2026 | Framework 6.0.2

Status: NOT HELD in the supplied workbook (holding cell blank); BENEFICIARY / Watchlist. **Analytical Base: 41/60 = 68%**, nearest permitted integer lattice. This is a new position; no existing portfolio Base score is revised.

Snapshot: USD 110.60, September 28, 2026 at 11:56 EDT, intraday [S10]; 143.716609 million common shares issued as of August 3 [S2]; implied common equity capitalization USD 15.90 billion. Issued shares are not the diluted valuation denominator.

Active workbook horizon: Q3 2027, pricing Q3 2027 through Q2 2028. **Ceiling USD 203.31/share** = USD 1,622.74 million forward-four-quarter adjusted operating profit x 20 / 159.629217 million modeled economic diluted shares. This is an adjusted-operating-profit multiple, not a net-earnings P/E. The framework's 20x default applies; no separate company multiple override was supplied.

All financial tables use USD millions unless stated. Calendar quarters equal fiscal quarters. Exactly one base case is used. The first 12-16 months carry the greatest analytical weight; 2028-2030 is a lower-confidence trajectory check, not precision guidance.

1. Thesis, business model and TAM expansion

Akamai sells enterprise security, content delivery and cloud infrastructure. Security is the established earnings engine. Delivery and other cloud services are the declining legacy pool. Cloud Infrastructure Services (CIS) now provides a second growth engine through dedicated CPU and GPU capacity, developer services and inference workloads. These categories use the company's recast 2026 reporting structure [S1].

The investment thesis is a transition from delivery-led infrastructure to security plus contracted AI compute. Signed demand makes the near-term opportunity more concrete than a generic AI market-share assumption. The September 24 disclosure adds an approximately USD 11.6 billion, seven-year Anthropic commitment, subject to delivery, service availability and termination provisions. This is additional to the previously disclosed USD 2.8 billion large-CIS contract pool, which includes other business and must not all be relabeled Anthropic [S5-S7].

The new CPU commitment contributes no 2026 revenue. The model recognizes USD 225 million in 2027 and reaches the disclosed USD 1.7 billion annual revenue run rate at the end of 2028. The approximately USD 9 billion additional contractual opportunity is uncommitted; only a probability-weighted first USD 3 billion tranche enters the later model. The revenue forecast is net of the company's stated warrant accounting effect; that effect is not deducted a second time [S5,S7].

Why this can work: operating an existing global network, provisioning enterprise capacity, integrated security and customer relationships reduce deployment friction. CPU-intensive agents and inference orchestration expand compute demand beyond GPUs. **Why this is not a chokepoint:** buyers can use hyperscalers, other clouds or internal infrastructure; there is no identified exclusive physics, patent or regulatory barrier that forces all AI deployments through Akamai. Existing network locations do not equal commissioned, GPU-ready capacity. Classification remains BENEFICIARY with a deployment-speed opportunity, rather than a sole-source bottleneck [S3,S4,S8].

Ford Principle: changing the served market

Phase 1 is website/application delivery and security; the purchased unit is traffic protection and performance. Phase 2 is enterprise cloud and dedicated AI training/inference infrastructure; the unit becomes contracted compute capacity. Phase 3 is distributed agents, inference, robotics and their security, with demand linked to more machine interactions and runtime CPU work. Phase 4 is an optional expansion of dedicated customer capacity. Each phase adds a wallet but also adds capital needs and competition; it does not justify multiplying every existing segment by an AI TAM.

Framework DB3 (data-center infrastructure), DB5 (memory) and DB7 (agentic/server CPU demand) are relevant demand references. The optical DB1 forecasts are downstream context, not Akamai's direct revenue TAM. This model uses the signed

contract pool as its quantified obtainable market. No independently verified total 2030 CPU-cloud-services TAM or Akamai capture percentage is available, so neither is invented. The underlying CPU-silicon TAM in the framework cannot be treated as cloud-services revenue.

Security is in an established expansion phase; delivery is mature/contracting; contracted CIS is at the capital-deployment stage before the steep revenue ramp. This mixed S-curve supports growth but also makes cash consumption and service execution central to underwriting.

Competition and evidence hierarchy

Hyperscaler ecosystems, cloud infrastructure specialists, security vendors and customers' internal systems compete for the same workload and defense budgets. Cloudflare's Workers AI and developer platform illustrate an alternative edge-compute route; AWS, Microsoft and Google combine compute with broader enterprise relationships. They are competitors, not proof that Akamai's specific contracts will be displaced. The annual filing identifies intense price, capability and customer-self-build competition [S8,S12].

The strongest evidence is customer contractual commitment and the company's statements/filings, followed by management's deployment economics. Management transcript statements are distinguished from analyst questions. No sell-side price target enters the model. A high-estimate consensus check was attempted but unavailable [S11]; it is not substituted with a fabricated consensus figure.

2. Base score and classification

Category	Points / maximum	Evidence
Core thesis	13 / 20	Established global network, security and cloud operations; reproducible by well-funded rivals, no sole-source architecture.
Cycle stage	9 / 10	CIS inflection ahead of 2027-2028 capacity commissioning; delivery remains in decline.
TAM expansion	8 / 10	CPU agents, edge inference, robotics and AI security broaden the wallet. Commercial commitments validate capture.
Catalysts	4 / 5	Q3/Q4 2026 prints, procurement, prior-contract ramps and late-Q2/H2 2027 Anthropic service initiation.
Macro	9 / 10	Agentic CPU demand and enterprise cyber-defense demand; funding and hardware remain constraints.
Alpha	3 / 5	Contract economics and CPU intensity more useful than CDN classification; widely disclosed deal limits information edge.
Risks	-5	One point each: competition; execution/obsolescence; customer credit/concentration; financing/dilution; security/integration/regulation.

Positive subtotal 46/60, less five separately identified risk points = 41/60. 41 / 60 x 100 = 68.333%, displayed Base 68 under the framework lattice. The score recognizes commercial traction without granting monopoly credit. No customer-prepayment bonus is awarded: contractual future payments and Akamai-funded component procurement are not customer cash prepayment. The new Excel Base is 68; all pre-existing Base overrides remain protected.

3. Actual financial anchor, guidance and contracts

USD million unless noted	Q1 2026 actual	Q2 2026 actual
Security revenue	589.79	604.44
Delivery and other cloud	389.21	395.93
CIS revenue	94.61	99.32
Total revenue	1,073.61	1,099.68
Cash gross profit (non-GAAP)	764.41	780.62
Ordinary non-GAAP D&A	143.87	145.36
Non-GAAP R&D	92.72	94.82
Non-GAAP SG&A	245.03	269.73
Adjusted operating profit	282.80	270.71
GAAP operating profit	114.49	80.28

Source: recast supplemental financials [S1], checked against the Q2 filing [S2]. The quarter-to-quarter operating-profit decline despite higher revenue prevents treating all AI revenue as immediate operating leverage. Cash gross profit excludes depreciation; ordinary non-GAAP D&A is deducted separately in the model. Cash GP less D&A is not presented as GAAP gross profit because company D&A also includes operating-expense functions.

Profit reconciliation	Q1 2026	Q2 2026
GAAP operating profit	114.49	80.28
+ Stock compensation	128.68	146.29
+ Capitalized SBC / interest amortization	15.02	15.43
+ Acquired-intangible amortization	25.19	25.09
+ Restructuring	0.18	1.82
+ Acquisition costs / (benefit)	-0.76	1.79
= Adjusted operating profit	282.80	270.71

The valuation basis follows the company's non-GAAP operating framework and retains ordinary depreciation. It excludes recurring stock compensation as well as the listed adjustments. This is economically material: Q2 GAAP OP is USD 80.28 million versus adjusted OP USD 270.71 million. Employee dilution is modeled separately, but dilution does not make the excluded compensation expense disappear. The ceiling must not be described as 20x GAAP earnings, free cash flow or after-tax net income. No precise long-range GAAP reconciliation is claimed without a defensible SBC/adjustment forecast.

Guidance / disclosed fact	Current anchor	Model treatment
Q3 2026 [S3]	Revenue 1,105-1,130; cash GM about 70%; opex 347-359; D&A 153-155	1,117.5 revenue, 70% cash GM, 353 opex, 154 D&A; 24.63% adjusted OP margin
FY2026 [S3,S5]	Revenue 4,445-4,530; adjusted OP margin 25-26%; CIS at least 50% growth in constant currency	Revenue 4,490; 25.43% adjusted OP margin. Reported-dollar CIS +50% proxy; separate segment FX allocation unavailable
Security / delivery [S3]	High-single-digit security growth; mid-single-digit delivery/other decline, constant currency	2026 security 2,450; delivery/other 1,569.14. Difference from CC rates is not presented as guidance
Earlier CIS agreements [S3,S4]	2,800 total contract value across different terms; prior CPU deal begins Q4 2026	2026 H2 prior-deal pool 57.5; 2027 390; 2028 500 annual. Allocation is modeled, not reported by customer
New Anthropic [S5-S7]	11,600 over seven years; 2027 revenue 150-300; 1,700 annualized at end-2028	225 revenue in 2027; 1,325 in 2028; 1,700 in 2029-30
Timing wording [S5,S7]	Presentation: late Q2 2027 service start; call: H2 2027 revenue	First recognized new-deal revenue Q3 2027, no unsupported Q2 uplift
LayerX [S2,S3,S13]	Closed July 2; approximately 205 cash consideration; 2026 revenue immaterial	Included in security trajectory and opex; no additional acquisition-revenue overlay

The new agreement is conditional, not an unconditional cash bond. The 8-K permits termination for specified breaches, material outages, insolvency and certain change-of-control events; full service contracts are expected with the Q3 filing. Lenovo supplies infrastructure and Jabil is authorized to procure approximately USD 1.7 billion of memory components funded by Akamai [S6]. The procurement supports capacity planning but does not establish the identity or share of any DRAM supplier.

4. Quarterly revenue vectors and margin assumptions

Vector	Source and derivation	Confidence
Security	Q1/Q2 actuals and FY26 guidance; FY26 2,450, then growth 10%, 10%, 9%, 8% in 2027-30. Later growth is modeled continuation, not management guidance [S1,S3].	MEDIUM through 2027; LOW later
Delivery + other cloud	FY26 residual after total/security/CIS anchors; subsequent growth -4%, -3%, -2%, 0%. Decelerating decline is an explicit assumption [S1,S3].	MEDIUM through 2027; LOW later
Residual CIS	FY26 CIS = 313.909 x 1.50. Subtract separately modeled H2 prior-contract revenue. Residual annual growth 25%, 20%, 18%, 15% [S1,S3,S4].	MEDIUM through 2027; LOW later
Prior large CIS pool	2,800 committed TCV; full-run revenue derived as about 2,200 total portfolio less 1,700 new agreement. Quarter phasing below; different customer contracts are not all Anthropic [S3-S7].	HIGH commitment; MEDIUM allocation/timing
New Anthropic	Seven-year 11,600 commitment. 2027 midpoint 225; gradual 2028 ramp to 425 per quarter. Revenue already net of company warrant treatment [S5-S7].	HIGH contract; MEDIUM ramp/economics
First optional tranche	Only 3,000 of potential 9,000; assumed seven years and 35% combined realization/timing probability. Q3/Q4 2029 at 20%/60% raw run rate; 2030 at full raw run rate [S7].	LOW; wholly modeled timing/terms

Residual CIS is a modeling allocation: earlier-contract revenue is not separately reported in H1. H1 CIS is left in the residual anchor, with any already-recognized earlier-contract amount assumed immaterial. If management provides that split, reallocate rather than adding revenue twice. All three underlying annual vectors use quarterly weights 24%, 24.7%, 25.3%, 26%; these are explicit smoothing assumptions. Q3/Q4 2026 instead reconcile to actual H1 and full-year guidance. Reported-dollar figures are used throughout; no additional FX uplift is added.

Quarter	Security	Delivery / other	Residual CIS	Prior contracts	New Anthropic	Weighted option	Total
Q3 2026	621.00	391.50	100.00	5.00	0.00	0.00	1,117.50
Q4 2026	634.77	392.50	119.43	52.50	0.00	0.00	1,199.21
Q1 2027	646.80	361.53	124.01	60.00	0.00	0.00	1,192.34
Q2 2027	665.66	372.07	127.63	90.00	0.00	0.00	1,255.36
Q3 2027	681.84	381.11	130.73	115.00	75.00	0.00	1,383.67
Q4 2027	700.70	391.66	134.34	125.00	150.00	0.00	1,501.70
Q1 2028	711.48	350.68	148.81	125.00	225.00	0.00	1,560.97
Q2 2028	732.23	360.91	153.15	125.00	300.00	0.00	1,671.29
Q3 2028	750.02	369.68	156.87	125.00	375.00	0.00	1,776.57
Q4 2028	770.77	379.91	161.21	125.00	425.00	0.00	1,861.89
Q1 2029	775.51	343.67	175.60	125.00	425.00	0.00	1,844.78
Q2 2029	798.13	353.69	180.72	125.00	425.00	0.00	1,882.54
Q3 2029	817.52	362.28	185.11	125.00	425.00	7.50	1,922.41

Quarter	Security	Delivery / other	Residual CIS	Prior contracts	New Anthropic	Weighted option	Total
Q4 2029	840.14	372.31	190.23	125.00	425.00	22.50	1,975.18
Q1 2030	837.55	343.67	201.94	125.00	425.00	37.50	1,970.66
Q2 2030	861.98	353.69	207.83	125.00	425.00	37.50	2,011.00
Q3 2030	882.92	362.28	212.87	112.50	425.00	37.50	2,033.08
Q4 2030	907.35	372.31	218.76	112.50	425.00	37.50	2,073.42

Prior contracts reach 125 per quarter in Q4 2027. The model lowers that pool by 12.5 per quarter in H2 2030 for expiry of the first four-year, 200 contract; exact service-start/renewal dates remain unconfirmed. It does not assume perpetual renewal. New Anthropic is all CPU according to management; the prior pool includes GPU business. Multiplying both pools by the same GPU shipment or optical module TAM would misstate the exposure.

Product cash margins and depreciation

Year / quarter	Security	Delivery	Residual CIS	Prior contracts	New CPU	Option
2026 Q3	74.13%	66.00%	60.00%	70.00%	79.59%	79.59%
2026 Q4	76.50%	66.00%	60.00%	70.00%	79.59%	79.59%
2027	76.50%	65.00%	62.00%	70.00%	79.59%	79.59%
2028	77.00%	64.00%	64.00%	70.00%	79.59%	79.59%
2029	77.00%	63.00%	65.00%	70.00%	79.59%	79.59%
2030	77.00%	63.00%	65.00%	70.00%	79.59%	79.59%

All product-level margins are analyst allocations because Akamai does not disclose this six-vector cost split. Q3 2026 security cash GM is solved to match the guided 70% consolidated cash GM. The 2027+ margin trajectories reflect security mix, delivery price pressure and cloud utilization; they require quarterly validation. This is a decomposed model with separate depreciation, not an unchanging company-wide margin.

New CPU cash GM = 1 - (3.5 / 22) - 4.5% = 79.5909%. Inputs: management discussed approximately USD 22 million annual revenue per MW and USD 3-4 million annual colocation cost per MW [S7]; 3.5 is the midpoint. The additional 4.5% direct support/network/warranty cost is a LOW-confidence analyst allowance. The resulting margin exceeds the generic 65-75% large-deal cash-GM range cited on the Q2 call; it is justified only as a September CPU-specific inference and must be revised if total direct costs are higher. No pass-through price premium is assumed on top.

New CPU D&A = recognized revenue x (5,500 / 7 / 1,700) = 46.2185% of revenue: the announced capital program is depreciated over the seven-year useful life described by management, and in-service capacity is assumed to scale with recognized revenue. This is a simplified commissioning model, not a disclosed asset-vintage schedule. Prior-contract D&A is a separate modeled 38% of its revenue. Legacy D&A/revenue is 14.5%, 14%, 13.5%, 13% for 2027-30. Q3/Q4 2026 total D&A is calibrated to 154/174. No depreciation is charged on uncommissioned new-contract 2026 procurement in this model.

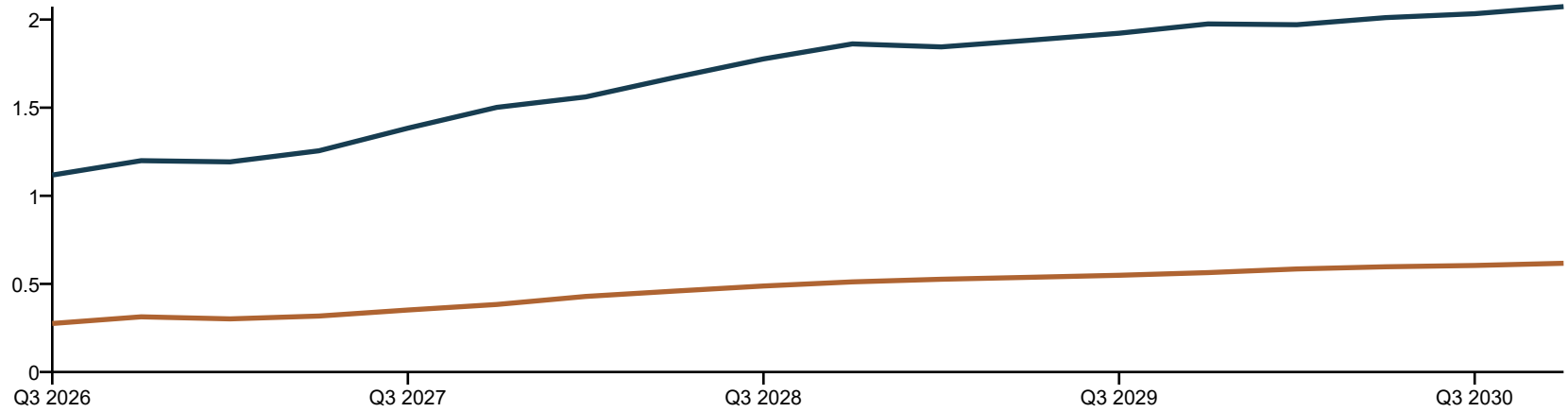
Year	Legacy R&D / rev	Legacy SG&A / rev	Contract R&D / rev	Contract SG&A / rev
2027	8.5%	23.0%	1.5%	4.5%
2028	8.2%	21.8%	1.5%	4.5%
2029	8.0%	21.0%	1.5%	4.5%
2030	7.8%	20.2%	1.5%	4.5%

Legacy means security + delivery/other + residual CIS. Contract means prior + new + weighted optional revenue. R&D and SG&A leverage are analyst assumptions; ordinary depreciation remains fully deducted. Q3/Q4 2026 total non-GAAP opex is 353/366. At full utilization, the incremental CPU adjusted OP margin is 79.5909% - 46.2185% - 6% = 27.3724%. That arithmetic, rather than a blanket 50% AI margin, drives the model.

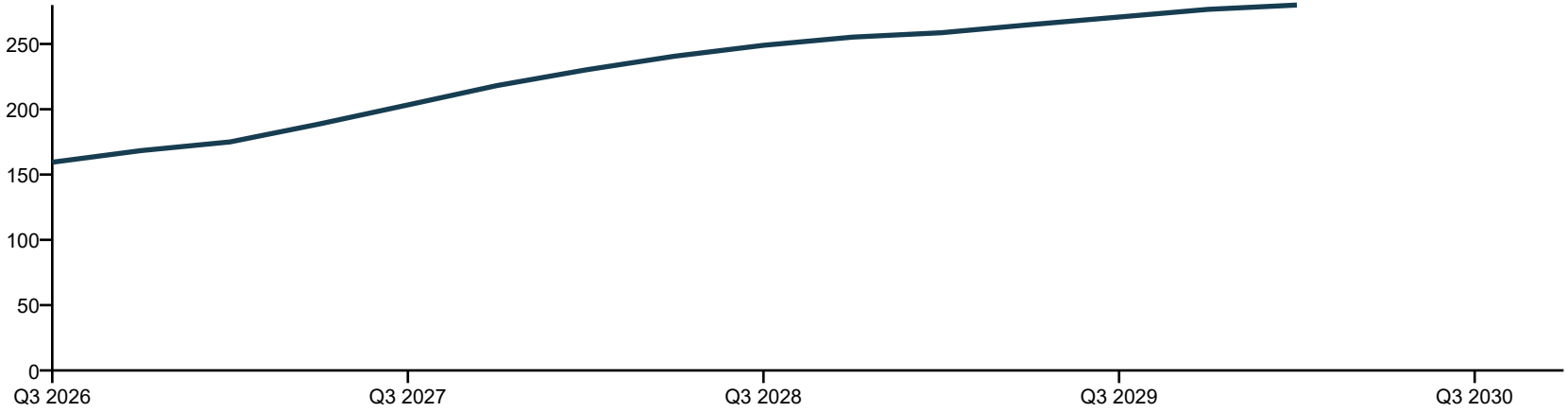
Quarter	Cash GP	D&A	R&D	SG&A	Adjusted OP
Q3 2026	782.25	154.00	97.08	255.92	275.25
Q4 2026	853.06	174.00	100.79	265.21	313.06
Q1 2027	848.68	186.99	97.15	263.14	301.41
Q2 2027	893.21	203.18	100.41	272.08	317.54
Q3 2027	990.57	251.45	104.31	283.09	351.72
Q4 2027	1,080.79	294.70	108.39	294.52	383.18
Q1 2028	1,134.10	321.03	104.55	279.74	428.78
Q2 2028	1,219.09	360.64	108.57	290.82	459.07
Q3 2028	1,300.47	399.54	112.18	300.79	487.96
Q4 2028	1,365.57	427.59	115.82	310.74	511.41
Q1 2029	1,353.56	418.72	111.83	296.65	526.35
Q2 2029	1,380.62	423.82	114.85	304.58	537.36
Q3 2029	1,409.78	431.66	117.56	311.72	548.85
Q4 2029	1,448.78	443.69	120.80	320.32	563.96
Q1 2030	1,448.30	441.07	116.70	305.84	584.69
Q2 2030	1,477.25	446.32	119.85	313.98	597.10
Q3 2030	1,493.32	446.06	122.36	320.41	604.49
Q4 2030	1,522.27	451.31	125.50	328.56	616.90

5. Operating model, quarterly ceilings and dilution

Revenue (blue), adjusted OP (orange) | USD billions



20x forward 4Q adjusted OP ceiling | USD/share



All chart values are model estimates. 2028 onward is LOW confidence.

The embedded charts are generated from the same base-case table as the workbook. Revenue x the derived adjusted OP margin equals operating profit. At each ceiling quarter, sum that quarter and the next three quarters, multiply by 20 and divide by that quarter's modeled economic diluted shares. No calendar-year profit is substituted for the rolling earnings window.

Quarter	Status	Revenue	OP margin	Adjusted OP	Main driver	Confidence
Q1 2026	Actual	1,073.61	26.34%	282.80	Reported mix	HIGH
Q2 2026	Actual	1,099.68	24.62%	270.71	Reported mix	HIGH
Q3 2026	Model	1,117.50	24.63%	275.25	Prior CIS	MEDIUM
Q4 2026	Model	1,199.21	26.11%	313.06	Prior CIS	MEDIUM
Q1 2027	Model	1,192.34	25.28%	301.41	CPU commissioning	MEDIUM
Q2 2027	Model	1,255.36	25.29%	317.54	CPU commissioning	MEDIUM
Q3 2027	Model	1,383.67	25.42%	351.72	CPU commissioning	MEDIUM
Q4 2027	Model	1,501.70	25.52%	383.18	CPU commissioning	MEDIUM
Q1 2028	Model	1,560.97	27.47%	428.78	CPU commissioning	LOW
Q2 2028	Model	1,671.29	27.47%	459.07	CPU commissioning	LOW
Q3 2028	Model	1,776.57	27.47%	487.96	CPU commissioning	LOW
Q4 2028	Model	1,861.89	27.47%	511.41	CPU commissioning	LOW
Q1 2029	Model	1,844.78	28.53%	526.35	Contract run rate + underlying growth	LOW
Q2 2029	Model	1,882.54	28.54%	537.36	Contract run rate + underlying growth	LOW
Q3 2029	Model	1,922.41	28.55%	548.85	Contract run rate + underlying growth	LOW
Q4 2029	Model	1,975.18	28.55%	563.96	Contract run rate + underlying growth	LOW
Q1 2030	Model	1,970.66	29.67%	584.69	Contract run rate + underlying growth	LOW
Q2 2030	Model	2,011.00	29.69%	597.10	Contract run rate + underlying growth	LOW
Q3 2030	Model	2,033.08	29.73%	604.49	Contract run rate + underlying growth	LOW
Q4 2030	Model	2,073.42	29.75%	616.90	Contract run rate + underlying growth	LOW

Ceiling quarter	Exact earnings window	Forward 4Q OP	Multiple	Diluted shares M	USD / share	Key inflection
Q3 2026	Q3 2026 to Q2 2027	1,207.26	20x	151.45	159.43	Pre-revenue capex
Q4 2026	Q4 2026 to Q3 2027	1,283.73	20x	152.52	168.34	Pre-revenue capex
Q1 2027	Q1 2027 to Q4 2027	1,353.85	20x	154.74	174.98	Contract ramp
Q2 2027	Q2 2027 to Q1 2028	1,481.22	20x	157.03	188.65	Contract ramp
Q3 2027	Q3 2027 to Q2 2028	1,622.74	20x	159.63	203.31	Contract ramp
Q4 2027	Q4 2027 to Q3 2028	1,758.99	20x	161.30	218.09	Contract ramp
Q1 2028	Q1 2028 to Q4 2028	1,887.21	20x	164.02	230.11	Contract ramp
Q2 2028	Q2 2028 to Q1 2029	1,984.79	20x	164.98	240.61	Contract ramp
Q3 2028	Q3 2028 to Q2 2029	2,063.08	20x	165.73	248.96	Contract ramp
Q4 2028	Q4 2028 to Q3 2029	2,123.96	20x	166.44	255.22	Contract ramp
Q1 2029	Q1 2029 to Q4 2029	2,176.52	20x	168.34	258.59	Mature run rate
Q2 2029	Q2 2029 to Q1 2030	2,234.86	20x	168.82	264.76	Mature run rate
Q3 2029	Q3 2029 to Q2 2030	2,294.60	20x	169.58	270.62	Mature run rate
Q4 2029	Q4 2029 to Q3 2030	2,350.25	20x	170.01	276.49	Mature run rate
Q1 2030	Q1 2030 to Q4 2030	2,403.19	20x	171.78	279.79	Mature run rate

Each rolling row above is a complete valuation chain using the four individually displayed operating quarters. For example, Q3 2027 takes Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028 adjusted OP; the three extension quarters Q2-Q4 2030 exist solely to complete the final Q1 2030 window. Calculations retain unrounded precision; display rounding is not an optionality increment.

Year	Revenue	Adjusted OP	OP margin	New Anthropic revenue	Weighted option
2026	4,490.00	1,141.82	25.43%	0.00	0.00
2027	5,333.08	1,353.85	25.39%	225.00	0.00
2028	6,870.73	1,887.21	27.47%	1,325.00	0.00
2029	7,624.91	2,176.52	28.54%	1,700.00	30.00
2030	8,088.17	2,403.19	29.71%	1,700.00	150.00

Cross-check: the prior/new large-contract pool reaches about 2,200 annual revenue. At approximately 22 per MW, that is about 100 MW, consistent with management's approximate 95-105 MW portfolio discussion [S7]. Residual CIS serves other workloads and is outside that power envelope. Modeled new-contract revenue through 2030 is below its seven-year 11,600 value; neither TCV nor optional TCV is recognized upfront. The 2030 revenue total also depends on continued security and residual-cloud growth, rather than all being secured backlog.

Dilution method and contingent instruments

The starting denominator is 150 million, the Q3 non-GAAP diluted-share guidance, increased by 1% annually for net employee dilution with no assumed resumed buyback offset. This is an economic, hedge-adjusted basis. Q2 GAAP diluted shares were 153.686 million versus non-GAAP 148.333 million; the difference mainly reflects convertible-note hedging treatment [S1,S2]. Economic warrant dilution is solved against each model ceiling, not the changing current quote, so artifact outputs remain price-independent.

Instrument	Common-equivalent maximum M	USD strike	Treatment
Anthropic committed tranche	3.096408	111.33	40% of 7.741020M; contingent on first payment and conditions. Conservatively included throughout
Anthropic optional first tranche	1.548204	111.33	35% weighted from Q3 2029; remaining two optional tranches excluded
Bank 2033	18.546	155.02	Separate warrants; principal not added again
Bank 2027	9.898	178.74	Net dilution fixed after modeled Q3 2027 settlement
Bank 2029	10.015	180.44	Net dilution fixed after modeled Q1 2029 settlement
Bank 2030	8.689	247.35	Included if in the money during displayed ceiling horizon
Bank 2032	9.171	282.68	Included if in the money during displayed ceiling horizon

The Anthropic 8-K specifies 387,051 preferred-share warrants, each representing 20 common shares, and cash exercise at 2,226.60 per preferred share. Exact common-equivalent counts above supersede rounded presentation shorthand [S6]. Net issuance uses the treasury-stock formula N x max(0, 1 - strike / ceiling). It assumes economic value for exercise proceeds and functioning note hedges; it is not a prediction of literal net settlement or GAAP diluted EPS. For active warrants the algebra is ceiling = (20 x F4Q OP + sum(N x strike)) / (base shares + sum(N)); only in-the-money tranches participate. This avoids circular spreadsheet formulas.

Bank-warrant settlement dates are approximated by their associated note-maturity quarters; actual warrant exercise schedules can differ. The net issuance calculated at that quarter is retained in all later denominators. This timing approximation and exact future hedge performance are unresolved modeling limitations. A full unhedged note conversion plus the bank-warrant shares is not added, which would double count the same financing structure. New equity financing is not assumed without terms; financing risk remains explicitly scored.

Active Q3 2027 denominator sensitivity	Shares M	Ceiling USD
Base economic diluted model	159.63	203.31
Additional 5M shares, numerator held fixed	164.63	197.14
Additional 10M shares, numerator held fixed	169.63	191.33

6. Funding, cross-book links and five scored risks

These are dilution diagnostics, not alternative investment cases. A permanent one-percentage-point miss in the new CPU cash margin reduces full-run annual OP by 17 million; a one-percentage-point miss across all modeled 2028 revenue reduces that year's OP by about 68.71 million. Neither is silently offset by raising the multiple.

Funding is the binding execution question

At June 30, cash plus short- and long-term marketable securities totaled 4,616.305; debt principal was 7,640 (carrying amount 7,562.828). H1 operating cash flow was 638.774. Subtract cash property/equipment purchases 246.613 and capitalized software cash costs 170.987 to obtain 221.174 before acquisitions and financing. These are cash-flow statement measures, not the company's broader capex guidance definition [S2].

Capital / liquidity item	USD million	Implication
New CPU capex, 2026 / 2027 / 2028	1,700 / 3,100 / 700	5,500 total; spending begins before revenue [S5]
2027 note principal maturity	1,150	Refinance or cash-settle; do not ignore behind an OP multiple [S2]
Committed revolver	1,000	Undrawn at June; expires November 2028 absent extension [S2]
Illustrative through-2027 bridge	5,950 uses vs 5,616.305 cash + revolver	333.695 difference before CFO, legacy capex, acquisition and working-capital movements
Weighted optional capex	497.84	1,050 weighted TCV x 5,500/11,600; presumed 2028-29 preparation, LOW confidence

The simple bridge is not a financing requirement forecast: ongoing cash generation helps, while legacy investment, cash timing and other obligations consume funding. The June cash snapshot predates the July acquisition. Buybacks were temporarily paused; assuming uninterrupted repurchases would contradict the funding direction. Q3 convertibility of the 2033 notes does not mean every holder immediately demands cash. Full cash-flow and asset-vintage forecasts are not possible from currently disclosed contract detail. The optional-capex amount is an economic warning, not an unannounced management budget [S2,S3,S5].

The 20x OP ceiling does not directly subtract net debt, interest, tax or capex; it is the framework's standardized ranking input, not an enterprise-to-equity DCF bridge. That limitation matters particularly for Akamai. Management's discussed 4-4.5% cash yield implies lost interest income as cash is deployed; this affects net earnings even when operating profit rises [S7].

Cross-book: named paired watches

AKAM ↔ MU / Samsung / SK Hynix: the Jabil memory procurement is direct evidence that CPU-cloud deployments consume substantial memory capital. It supports the demand mechanism, not a verified supplier allocation or a new memory-price forecast. AKAM ↔ JBL: the manufacturing/procurement agreement is confirmed, but component invoice value is not Jabil profit. AKAM ↔ AMD / INTC / ARM: CPU workload growth is relevant; the filing does not establish processor market shares. AKAM ↔ NVDA: earlier GPU/inference deployments remain relevant, while the new September agreement is CPU capacity. AKAM ↔ VRT / ENS: capacity commissioning depends on reliable power/cooling, but no specific equipment award is inferred. No paired company model is changed by this deep dive.

Scored risk class	Why it matters	Evidence that would worsen the model
1. Competition / pricing (-1)	Hyperscalers, specialist clouds and internal builds can capture workloads; delivery still declines	Security growth misses; contract renewals or residual cloud pricing weaken
2. Execution / obsolescence (-1)	5,500 capex, power, memory, hardware delivery and seven-year CPU asset life	Delayed commissioning; service credits; accelerated replacement or depreciation
3. Customer credit / concentration (-1)	Large private AI customer becomes economically significant; payments conditional on performance	Credit deterioration, contract termination, outage disputes or slow collection
4. Funding / dilution (-1)	Gross debt, refinancing, pre-revenue investment, SBC and warrants consume equity value	Unexpected equity issuance; hedge failure; liquidity pressure or more financing cost
5. Security / integration / regulation (-1)	A breach can impair the security franchise; acquisitions and global operations add execution obligations	Customer churn, claims, integration costs or restrictions without offsetting revenue

7. Dated triggers, counters and probability discipline

Test / next window	Escalation evidence	Counter / required response
1. Q3 2026 results; expected next regular earnings release, date not independently confirmed	Revenue within 1,105-1,130 and OP margin near 24-26%; updated committed capacity timing	Below guidance or higher depreciation/opex: reset Q4 and all dependent windows; do not preserve a ceiling by changing the multiple
2. Q4 2026 procurement and prior CPU start	Previously announced CPU contract produces 20-25 revenue; memory procurement and cash uses reconcile	Delayed acceptance/collection or capex beyond disclosed amount: shift recognition and revise liquidity
3. Late Q2 / H2 2027 new Anthropic launch	First service revenue and payments; 2027 revenue on path for 150-300	No commercial service by Q3 2027: remove unsupported current-quarter revenue; rephase capacity and depreciation together
4. End-2028 run-rate test	Quarterly net revenue near 425 from the new contract with credible disclosed costs	Higher total direct costs or shorter useful life: lower OP immediately, independently of signed TCV
5. Optional first 3,000 tranche, uncommitted	Management hint supports 55% commercial probability; 64% conditional modeled timing gives about 35% effective weight	No progress by H1 2028 or weakened customer finances: reduce effective weight to 15% or zero as evidence requires
6. First optional tranche signed	Replace the 35% revenue weight with 75-85% as delivery schedules become credible; 95-100% on production/payment evidence	Do not raise probability without matching capex, commissioning, costs and warrant dilution; no automatic full 9,000 inclusion
7. Each quarterly filing	Verify SBC, share count, hedges, debt maturities, liquidity and conversion/warrant terms	Unexpected dilution or additional capital needs lowers the denominator-based ceiling or funding confidence; Base change requires evidence

The 35% optional weight applies once. It is an analyst probability, not a company success forecast. Assumed seven-year duration, 2029 start and proportional capex require replacement when actual terms emerge. The other 6,000 of optional TCV contributes zero. All early earnings windows therefore depend on existing/signed business, not the remote option. Framework or sector-TAM changes only alter this artifact when a defensible company-revenue transmission path is identified.

8. Sources, unresolved inputs and saved snapshot

S1 | 2026-08-06: Q2 supplemental financials and recast categories.

S2 | 2026-08: Q2 10-Q: statements, cash, convertible notes, SBC and risks.

S3 | 2026-08-06: Q2 call: management statements; Quartr transcript hosted by Stock Analysis.

S4 | 2026-05-07: Q1 call: management statements; Quartr transcript hosted by Stock Analysis.

S5 | 2026-09-24: Anthropic agreement: capital, revenue and warrants presentation.

S6 | 2026-09-24: Anthropic transaction 8-K.

S7 | 2026-09-24: Customer update call: management economics and option terms.

S8 | 2026-02: FY2025 10-K: competition and operating model.

S9 | 2026-09-24: Company announcement of incremental Anthropic commitment.

S10 | 2026-09-28: Price reference, timestamped intraday.

S11 | 2026-09-28: Yahoo high-estimate check: inaccessible; no estimate substituted.

S12 | accessed September 28, 2026: Cloudflare Workers AI product documentation and Workers for Platforms. Product competition context only; no competitor financial forecasts enter the model.

S13 | August 5, 2026: Akamai Workforce Protector announcement. Security product/integration context; no additive TAM or revenue overlay.

Remaining gaps: per-customer earlier-contract revenue; commissioning and asset-vintage schedules; exact customer power/direct-cost economics; future SBC and GAAP adjustments; bank-warrant settlement dates beyond the maturity-quarter proxy; optional-contract duration/timing; a verified current high consensus estimate. These are explicitly modeled or left unmodeled, not presented as reported facts. Source status is current to September 28, 2026; filings outrank call shorthand on exact legal share counts and conditions.

Saved current artifacts: G:/My Drive/1amInvesting/Artifacts/AKAM_AkamaiTechnologies_DeepDive.md and .pdf. **Master integration:** v3_2_master_portfolio.xlsx, Master Portfolio AKAM row and AKAM_Q_Model. The workbook owns price-dependent ratios and ranking; this artifact owns the Base analysis and quarterly ceiling path.

Snapshot path: G:/My Drive/1amInvesting/Artifacts/versions/2026-09-28_AKAM_deep_dive/. Includes the prior master workbook, framework version at analysis, model inputs, source-evidence excerpts and validation record. Source excerpts are retrieval evidence, not claimed full local copies of every original filing. The PDF contains embedded vector charts and searchable tables and can be read offline without a companion image folder.